TERROR FINANCING, MONEY LAUNDERING AND FATF

FINANCE-PURPOSE MATRIX → PREDICATE-PROCEEDS GATEWAY → LAUNDERING-STAGE TYPOLOGY → CHANNEL DISTINCTION MAP → PREVENTIVE-CONTROL CHAIN → PMLA INSTITUTION LADDER

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

● PRIMARY CORE FLOW ● SUBORDINATE EXTRA ● APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

00

STAGE 00

FINANCE-PURPOSE MATRIX

FINANCE-PURPOSE MATRIX · MONEY LAUNDERING · DISGUISE PROCEEDS OF CRIME · TERROR FINANCING · MOVE VALUE FOR TERROR PURPOSE · MAY BE LAWFUL OR UNLAWFUL IN ORIGIN · PURPOSE, SOURCE AND LEGAL ROUTE MUST ALL BE NAMED

THREAT / INSTITUTION / INSTRUMENT	DECISIVE LEGAL OR STATUS DISTINCTION	ATTRIBUTION / IMPLEMENTATION LIMIT
MONEY LAUNDERING → DISGUISE PROCEEDS OF CRIME	FUNDS → MAY BE LAWFUL OR UNLAWFUL IN ORIGIN	MONEY LAUNDERING → DISGUISE PROCEEDS OF CRIME
TERROR FINANCING → PROVIDE / MOVE VALUE FOR TERROR PURPOSE	RULE → purpose, source and legal route must all be named	TERROR FINANCING → PROVIDE / MOVE VALUE FOR TERROR PURPOSE

THREAT / INSTITUTION / INSTRUMENT
- MONEY LAUNDERING → DISGUISE PROCEEDS OF CRIME
- TERROR FINANCING → PROVIDE / MOVE VALUE FOR TERROR PURPOSE

DECISIVE LEGAL OR STATUS DISTINCTION
- FUNDS → MAY BE LAWFUL OR UNLAWFUL IN ORIGIN
- RULE → purpose, source and legal route must all be named

ATTRIBUTION / IMPLEMENTATION LIMIT
- MONEY LAUNDERING → DISGUISE PROCEEDS OF CRIME
- TERROR FINANCING → PROVIDE / MOVE VALUE FOR TERROR PURPOSE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RULE → purpose, source and legal route must all be named.

01

STAGE 01

PREDICATE-PROCEEDS GATEWAY

PREDICATE-PROCEEDS GATEWAY · SCHEDULED PREDICATE OFFENCE REGISTERED · PROCEEDS OF CRIME IDENTIFIED · PMLA INVESTIGATION · UNEXPLAINED WEALTH ALONE IS NOT THE COMPLETE GATEWAY

SCHEDULED PREDICATE OFFENCE REGISTERED → PROCEEDS OF CRIME IDENTIFIED → PMLA INVESTIGATION → PROSECUTION / ADJUDICATION → TRAP → unexplained wealth alone is not the complete gateway

STARTING CONDITION / THREAT
- SCHEDULED PREDICATE OFFENCE REGISTERED
- PROCEEDS OF CRIME IDENTIFIED

GOVERNANCE / RESPONSE MECHANISM
- PMLA INVESTIGATION
- PROSECUTION / ADJUDICATION

RIGHTS / STATUS / OUTCOME LIMIT
- TRAP → unexplained wealth alone is not the complete gateway
- SCHEDULED PREDICATE OFFENCE REGISTERED

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP → unexplained wealth alone is not the complete gateway.

02

STAGE 02

LAUNDERING-STAGE TYPOLOGY

LAUNDERING-STAGE TYPOLOGY · VALUE ENTERS A CHANNEL · DISTANCE FROM CRIMINAL ORIGIN · APPARENTLY LEGITIMATE RETURN · SAFE RULE · CONCEPTUAL DIAGNOSIS, NEVER EVASION INSTRUCTION

PLACEMENT → VALUE ENTERS A CHANNEL → LAYERING → DISTANCE FROM CRIMINAL ORIGIN → INTEGRATION → APPARENTLY LEGITIMATE RETURN → SAFE RULE → conceptual diagnosis, never evasion instruction

STARTING CONDITION / THREAT
- PLACEMENT → VALUE ENTERS A CHANNEL
- LAYERING → DISTANCE FROM CRIMINAL ORIGIN

GOVERNANCE / RESPONSE MECHANISM
- INTEGRATION → APPARENTLY LEGITIMATE RETURN
- SAFE RULE → conceptual diagnosis, never evasion instruction

RIGHTS / STATUS / OUTCOME LIMIT
- PLACEMENT → VALUE ENTERS A CHANNEL
- LAYERING → DISTANCE FROM CRIMINAL ORIGIN

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SAFE RULE → conceptual diagnosis, never evasion instruction.

03

STAGE 03

CHANNEL DISTINCTION MAP

CHANNEL DISTINCTION MAP · TRADE VALUE · DOCUMENT MANIPULATION · BANKING CHANNEL · TRANSACTION CONTROLS · VIRTUAL ASSET · SEPARATE TECHNOLOGY · REPORTING RISK

THREAT / INSTITUTION / INSTRUMENT	DECISIVE LEGAL OR STATUS DISTINCTION	ATTRIBUTION / IMPLEMENTATION LIMIT
TBML → TRADE VALUE / DOCUMENT MANIPULATION	VIRTUAL ASSET → SEPARATE TECHNOLOGY / REPORTING RISK	TBML → TRADE VALUE / DOCUMENT MANIPULATION
BANKING CHANNEL → REPORTING / TRANSACTION CONTROLS	TERROR DIVERSION → MAY START WITH LAWFUL FUNDS	BANKING CHANNEL → REPORTING / TRANSACTION CONTROLS

THREAT / INSTITUTION / INSTRUMENT
- TBML → TRADE VALUE / DOCUMENT MANIPULATION
- BANKING CHANNEL → REPORTING / TRANSACTION CONTROLS

DECISIVE LEGAL OR STATUS DISTINCTION
- VIRTUAL ASSET → SEPARATE TECHNOLOGY / REPORTING RISK
- TERROR DIVERSION → MAY START WITH LAWFUL FUNDS

ATTRIBUTION / IMPLEMENTATION LIMIT
- TBML → TRADE VALUE / DOCUMENT MANIPULATION
- BANKING CHANNEL → REPORTING / TRANSACTION CONTROLS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TERROR DIVERSION → MAY START WITH LAWFUL FUNDS.

04

STAGE 04

PREVENTIVE-CONTROL CHAIN

PREVENTIVE-CONTROL CHAIN · BENEFICIAL OWNER · TRANSACTION MONITORING · SUSPICIOUS TRANSACTION REPORT · FIU-IND ANALYSIS · NOT PROVED · CRIME OR GUILT

CDD / KYC → BENEFICIAL OWNER → RECORDS / TRANSACTION MONITORING → SUSPICIOUS TRANSACTION REPORT → FIU-IND ANALYSIS / DISSEMINATION → NOT PROVED → crime or guilt

STARTING CONDITION / THREAT
- CDD / KYC → BENEFICIAL OWNER
- RECORDS / TRANSACTION MONITORING

GOVERNANCE / RESPONSE MECHANISM
- SUSPICIOUS TRANSACTION REPORT
- FIU-IND ANALYSIS / DISSEMINATION

RIGHTS / STATUS / OUTCOME LIMIT
- NOT PROVED → crime or guilt
- CDD / KYC → BENEFICIAL OWNER

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FIU-IND ANALYSIS / DISSEMINATION; NOT PROVED → crime or guilt.

05

STAGE 05

PMLA INSTITUTION LADDER

PMLA INSTITUTION LADDER · PREDICATE AGENCY · UNDERLYING OFFENCE · FINANCIAL INTELLIGENCE · PMLA INVESTIGATION · PROVISIONAL ATTACHMENT · ADJUDICATING AUTHORITY · SPECIAL COURT

PREDICATE AGENCY → UNDERLYING OFFENCE

FIU-IND → FINANCIAL INTELLIGENCE → ED → PMLA INVESTIGATION / PROVISIONAL ATTACHMENT → ADJUDICATING AUTHORITY → CONFIRM / RELEASE

STARTING CONDITION / THREAT
- PREDICATE AGENCY → UNDERLYING OFFENCE
- FIU-IND → FINANCIAL INTELLIGENCE

GOVERNANCE / RESPONSE MECHANISM
- ED → PMLA INVESTIGATION / PROVISIONAL ATTACHMENT
- ADJUDICATING AUTHORITY → CONFIRM / RELEASE

RIGHTS / STATUS / OUTCOME LIMIT
- SPECIAL COURT → TRIAL / LEGAL OUTCOME
- PREDICATE AGENCY → UNDERLYING OFFENCE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ADJUDICATING AUTHORITY → CONFIRM / RELEASE; SPECIAL COURT → TRIAL / LEGAL OUTCOME.

06

STAGE 06

PROPERTY-STATUS FIREWALL

PROPERTY-STATUS FIREWALL · PROVISIONAL ATTACHMENT · CONFIRMATION OR RELEASE · CONVICTION OR ACQUITTAL · CONFISCATION ONLY ON THE LEGALLY REQUIRED OUTCOME

TRACE / IDENTIFY

PROVISIONAL ATTACHMENT → CONFIRMATION OR RELEASE → CONVICTION OR ACQUITTAL

THREAT / INSTITUTION / INSTRUMENT
- TRACE / IDENTIFY
- PROVISIONAL ATTACHMENT

DECISIVE LEGAL OR STATUS DISTINCTION
- CONFIRMATION OR RELEASE
- CONVICTION OR ACQUITTAL

ATTRIBUTION / IMPLEMENTATION LIMIT
- CONFISCATION ONLY ON THE LEGALLY REQUIRED OUTCOME
- TRACE / IDENTIFY

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CONVICTION OR ACQUITTAL; CONFISCATION ONLY ON THE LEGALLY REQUIRED OUTCOME.

07

STAGE 07

TERROR-SANCTIONS ROUTE

TERROR-SANCTIONS ROUTE · TERROR-FUND OFFENCE? · UAPA INVESTIGATION · LISTED PERSON · SECTION 51A TARGETED ACTION · UN 1267 LINK · DOMESTIC IMPLEMENTATION · IDENTITY ACCURACY

TERROR-FUND OFFENCE? → UAPA INVESTIGATION / TRIAL

LISTED PERSON / ENTITY? → SECTION 51A TARGETED ACTION → UN 1267 LINK → DOMESTIC IMPLEMENTATION → SAFEGUARD → REVIEW / DELISTING / IDENTITY ACCURACY

THREAT / GOVERNANCE CONCEPT
- TERROR-FUND OFFENCE? → UAPA INVESTIGATION / TRIAL
- LISTED PERSON / ENTITY? → SECTION 51A TARGETED ACTION

INSTITUTIONAL RESPONSE
- UN 1267 LINK → DOMESTIC IMPLEMENTATION
- SAFEGUARD → REVIEW / DELISTING / IDENTITY ACCURACY

LEGAL / EVIDENTIARY LIMIT
- TERROR-FUND OFFENCE? → UAPA INVESTIGATION / TRIAL
- LISTED PERSON / ENTITY? → SECTION 51A TARGETED ACTION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SAFEGUARD → REVIEW / DELISTING / IDENTITY ACCURACY.

08

STAGE 08

THREE-FINANCE-LIMBS

PROCEEDS OF CRIME · FUNDS FOR TERROR PURPOSE · PROHIBITED WMD-RELATED FINANCING · COMMON NEED · RISK CONTROLS + INTELLIGENCE + LAWFUL ADJUDICATION

THREAT / INSTITUTION / INSTRUMENT	DECISIVE LEGAL OR STATUS DISTINCTION	ATTRIBUTION / IMPLEMENTATION LIMIT
AML → PROCEEDS OF CRIME	PF → PROHIBITED WMD-RELATED FINANCING	AML → PROCEEDS OF CRIME
CFT → FUNDS FOR TERROR PURPOSE	COMMON NEED → risk controls + intelligence + lawful adjudication	CFT → FUNDS FOR TERROR PURPOSE

THREAT / INSTITUTION / INSTRUMENT
- AML → PROCEEDS OF CRIME
- CFT → FUNDS FOR TERROR PURPOSE

DECISIVE LEGAL OR STATUS DISTINCTION
- PF → PROHIBITED WMD-RELATED FINANCING
- COMMON NEED → risk controls + intelligence + lawful adjudication

ATTRIBUTION / IMPLEMENTATION LIMIT
- AML → PROCEEDS OF CRIME
- CFT → FUNDS FOR TERROR PURPOSE

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: COMMON NEED → risk controls + intelligence + lawful adjudication.

09

STAGE 09

FATF ASSESSMENT ARCHITECTURE

FATF ASSESSMENT ARCHITECTURE · FATF RECOMMENDATIONS · INTERNATIONAL STANDARDS · MUTUAL EVALUATION · TECHNICAL COMPLIANCE + EFFECTIVENESS · POST-EVALUATION REPORTING · INCREASED MONITORING · CALL FOR ACTION

FATF RECOMMENDATIONS → INTERNATIONAL STANDARDS

MUTUAL EVALUATION → TECHNICAL COMPLIANCE + EFFECTIVENESS → FOLLOW-UP → POST-EVALUATION REPORTING → LISTING → INCREASED MONITORING / CALL FOR ACTION

THREAT / GOVERNANCE CONCEPT
- FATF RECOMMENDATIONS → INTERNATIONAL STANDARDS
- MUTUAL EVALUATION → TECHNICAL COMPLIANCE + EFFECTIVENESS

INSTITUTIONAL RESPONSE
- FOLLOW-UP → POST-EVALUATION REPORTING
- LISTING → INCREASED MONITORING / CALL FOR ACTION

LEGAL / EVIDENTIARY LIMIT
- MUST REMEMBER: Terror finance and money laundering analysis follows predicate offence....
- FATF RECOMMENDATIONS → INTERNATIONAL STANDARDS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: Terror finance and money laundering analysis follows predicate offence..

10

STAGE 10

INDIA 2024 BALANCED SCORECARD

INDIA 2024 BALANCED SCORECARD · RISK UNDERSTANDING · FINANCIAL INTELLIGENCE · BENEFICIAL OWNERSHIP · ASSET RECOVERY · COMPLETE ML · TF TRIALS + APPROPRIATE SANCTIONS · RISK-BASED NON-PROFIT OUTREACH

THREAT / INSTITUTION / INSTRUMENT	DECISIVE LEGAL OR STATUS DISTINCTION	ATTRIBUTION / IMPLEMENTATION LIMIT
STRENGTH → RISK UNDERSTANDING / FINANCIAL INTELLIGENCE	GAP → COMPLETE ML / TF TRIALS + APPROPRIATE SANCTIONS	STATUS → REGULAR FOLLOW-UP; REPORT BACK IN THREE YEARS
STRENGTH → BENEFICIAL OWNERSHIP / ASSET RECOVERY	GAP → RISK-BASED NON-PROFIT OUTREACH	CLOSE DISTINCTION: FATF standard is not Indian conviction, grey listing is not sanction,...

THREAT / INSTITUTION / INSTRUMENT
- STRENGTH → RISK UNDERSTANDING / FINANCIAL INTELLIGENCE
- STRENGTH → BENEFICIAL OWNERSHIP / ASSET RECOVERY

DECISIVE LEGAL OR STATUS DISTINCTION
- GAP → COMPLETE ML / TF TRIALS + APPROPRIATE SANCTIONS
- GAP → RISK-BASED NON-PROFIT OUTREACH

ATTRIBUTION / IMPLEMENTATION LIMIT
- STATUS → REGULAR FOLLOW-UP; REPORT BACK IN THREE YEARS
- CLOSE DISTINCTION: FATF standard is not Indian conviction, grey listing is not sanction,...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: FATF standard is not Indian conviction, grey listing is not sanction,.

11

STAGE 11

PYQ AND EFFECTIVENESS RAIL

PYQ AND EFFECTIVENESS RAIL · GLOBALISATION + MATCHED CONTROLS · FUNDING SOURCES + FATF COMPLIANCE EFFORTS · CROSS-OWNED DRUG · LAUNDERING LINK · ATTACHMENT, LISTING AND COMPLIANCE ARE NOT CONVICTION · EVIDENCE LIMIT · USE PMLA, FIU-IND, ED, NIA AND FATF WITH

2021 → TECHNOLOGY / GLOBALISATION + MATCHED CONTROLS → 2023 → FUNDING SOURCES + FATF COMPLIANCE EFFORTS → 2018 → CROSS-OWNED DRUG / LAUNDERING LINK → END → PREVENT / DETECT / DISRUPT / PROSECUTE / ADJUDICATE → QUALIFY → attachment, listing and compliance are not conviction

THREAT / GOVERNANCE CONCEPT
- 2021 → TECHNOLOGY / GLOBALISATION + MATCHED CONTROLS
- 2023 → FUNDING SOURCES + FATF COMPLIANCE EFFORTS

INSTITUTIONAL RESPONSE
- 2018 → CROSS-OWNED DRUG / LAUNDERING LINK
- END → PREVENT / DETECT / DISRUPT / PROSECUTE / ADJUDICATE

LEGAL / EVIDENTIARY LIMIT
- QUALIFY → attachment, listing and compliance are not conviction
- EVIDENCE LIMIT: MECHANISM / STATUS / CAUSATION: Use PMLA, FIU-IND, ED, NIA and FATF with...

MECHANISM / VERDICT — EVIDENCE LIMIT: MECHANISM / STATUS / CAUSATION: Use PMLA, FIU-IND, ED, NIA and FATF with...

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: MECHANISM / STATUS / CAUSATION: Use PMLA, FIU-IND, ED, NIA and FATF with.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · RECEIVES AND ANALYSES SUSPICIOUS TRANSACTION REPORTS/CASH · ENFORCEMENT DIRECTORATE (ED) · INVESTIGATES PMLA CASES TIED TO A · SPECIAL COURTS UNDER PMLA · THE PROSECUTION LAYER FATF'S 2024 · THE PREDICATE-OFFENCE DEPENDENCY AS AN INSTITUTIONAL DESIGN · UAPA SECTION 51A AND THE UN 1267 ROUTE

OPTIONAL DOCTRINE / INSTITUTION DEPTH
- FIU-IND: receives and analyses Suspicious Transaction Reports/Cash
- Enforcement Directorate (ED): investigates PMLA cases tied to a
- CAUTION: Special Courts under PMLA: the prosecution layer FATF's 2024
- CAUTION: The predicate-offence dependency as an institutional design

LAW, ATTRIBUTION OR STATUS LIMIT
- UAPA Section 51A and the UN 1267 route: the terrorist-financing
- FATF's three-year progress-report obligation (in 2027): the
- CAUTION: Emerging virtual-asset regulatory architecture: CAUTION: any specific
- CAUTION: The 26-country MLAT figure (Singh, book-period) as a boundary case

COMPARATIVE GOVERNANCE / RIGHTS NUANCE
- CAUTION: JAM-Trinity (Jan Dhan-Aadhaar-Mobile) as an AML/CFT-relevant boundary
- CAUTION: Non-profit-sector terror-financing risk as a boundary case: FATF's
- CAUTION: Strong detection/seizure capacity without matching prosecutorial
- CAUTION: TBML detection depends on customs-agency focus shifting from

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels